

TABLE 5.3 Sector comparison: annualised returns before fees (%)

	Currencies	Agriculture	Non- Agriculture	Equities	Rates	All sectors
Long	-0.18	6.43	-0.41	5.44	9.10	20.37
Short	0.51	-0.84	0.67	-1.33	-1.13	-2.13
Total	0.33	5.58	0.26	4.11	7.97	18.24

Both the commodity buckets produced positive returns over time, with agriculture showing a clear lead. That shouldn't be terribly surprising, as the agricultural space is perhaps the most interesting for a trend follower. In this sector, we can find a variety of uncorrelated markets, assets which are not directly interrelated. That makes it a very valuable sector. The non-agricultural sector, energies and metals, also performed quite well, contributing on the short side of the game.

As you may notice in Table 5.3, the short side looks rather mediocre. In fact, if you look at just the short side, it looks downright terrible. Over a 20-year time horizon, we would have ended up losing 2% per year, on average. In fact, only two sectors showed a positive return on the short side over this 20-year span: currencies and non-agriculture. With the former, currencies, you could very well argue that there is no such thing as long and short. It's an academic argument, but completely valid. The long versus shorts in that sector is about mathematics, not behaviour of the market. An equity bear market is a very different animal from an equity bull market, but in the currency world there is no distinction. Long or short depends on the direction in which you quote the cross.

Equities did well on the long side but not so much on the short side. Equities used to be much easier for these types of strategies a decade or two earlier and one can only speculate about what, if anything, made the equity markets change and become more erratic and less prone to sustained trending. What comes to mind, of course, would be not only the increased amount of electronic trading and high frequency algorithmic trading, but also the increasingly globalised world in which all equity futures across the world tend to see a remarkably high level of correlation to each other. In particular, when the markets are experiencing high levels of fear, such as the crises during 2000, 2008 and 2011, the correlation between indices with seemingly very different sector or geographic compositions quickly approaches one. High correlation between instruments in our investment universe is